

ACCOUNTANCY – ISSUE OF SHARES

Class 12 • Quick Revision Notes

1. Meaning of Share

A share is a unit into which the total share capital of a company is divided. A person who holds shares is called a shareholder.

2. Types of Share Capital

Type	Meaning
Authorised Capital	Maximum capital a company is authorised to issue according to its Memorandum.
Issued Capital	Part of authorised capital offered to the public for subscription.
Subscribed Capital	Part of issued capital actually subscribed by the public.
Called-up Capital	Amount of subscribed capital that the company has asked shareholders to pay.
Paid-up Capital	Amount actually received/paid by shareholders on called-up capital.
Reserve Capital	Part of uncalled capital which is called only on winding up of the company.

3. Classes of Shares

Equity Shares: Owners' capital carrying variable dividend and voting rights, subject to the Articles and applicable law.

Preference Shares: Shares carrying preferential rights regarding dividend and repayment of capital on winding up.

4. Issue of Shares

Shares may be issued for cash or for consideration other than cash. The issue price may be at par or at a premium, subject to applicable company law.

At Par: Issue price = Face value.

At Premium: Issue price > Face value. The excess is credited to Securities Premium Account.

5. Stages of Issue for Cash

Stage	Typical entry
Application	Bank A/c Dr. → To Share Application A/c
Allotment	Share Allotment A/c Dr. → To Share Capital A/c; and, where applicable, → To Securities Premium A/c
Calls	Share Call A/c Dr. → To Share Capital A/c
Receipt	Bank A/c Dr. → To Share Call A/c

6. Oversubscription

Oversubscription occurs when applications received are more than shares offered. The company may reject some applications, make proportionate allotment (pro-rata), or use a combination of rejection and pro-rata allotment, depending on the terms and applicable rules.

Excess application money: It may be refunded or adjusted towards allotment/calls when permitted.

7. Pro-rata Allotment

If shares are allotted in a fixed ratio, the pro-rata ratio is generally calculated as: Shares allotted : Shares applied. Excess application money is adjusted against amounts due on allotment/calls as applicable.

8. Calls in Arrears

When a shareholder fails to pay an amount due on allotment or a call, the unpaid amount is called Calls in Arrears. If interest is charged, the company records interest according to the applicable terms.

9. Calls in Advance

When a shareholder pays an amount before it is called, it is Calls in Advance. It is shown as a liability until the amount becomes due and is dealt with according to the applicable rules and terms.

10. Forfeiture of Shares

Forfeiture means cancellation of shares because the shareholder failed to pay amounts due, after following the required procedure and terms. The accounting treatment depends on the amount called, amount received, and any premium involved.

Basic entry when shares are forfeited:

Share Capital A/c Dr. (amount called-up)
To Share Forfeiture A/c (amount received on share capital)
To Calls in Arrears / relevant unpaid account (amount unpaid)

If securities premium was due but not received, the premium is also reversed as required by the accounting entry.

11. Reissue of Forfeited Shares

Forfeited shares can be reissued at par, at a premium, or at a discount subject to the applicable legal limit. The discount on reissue cannot exceed the amount forfeited on those shares.

Typical entry: Bank A/c Dr. + Share Forfeiture A/c Dr. (if discount is allowed) → To Share Capital A/c; and Securities Premium A/c if applicable.

Transfer of profit on reissue: The balance relating to reissued shares in Share Forfeiture A/c is transferred to Capital Reserve.

12. Securities Premium

Securities Premium represents the amount received over and above the nominal/face value of shares. Its utilisation is restricted by company law; common permitted uses include issuing fully paid bonus shares and certain specified corporate purposes.

13. Important Journal Entries – Revision

Transaction	Journal entry (simplified)
Application money received	Bank A/c Dr. → To Share Application A/c
Application transferred	Share Application A/c Dr. → To Share Capital A/c
Allotment due	Share Allotment A/c Dr. → To Share Capital A/c; To Securities Premium A/c (if applicable)
Allotment received	Bank A/c Dr. → To Share Allotment A/c
Call due	Share Call A/c Dr. → To Share Capital A/c
Call received	Bank A/c Dr. → To Share Call A/c
Forfeiture	Share Capital A/c Dr. → To Share Forfeiture A/c; To unpaid calls/relevant account
Reissue	Bank A/c Dr. + Share Forfeiture A/c Dr. → To Share Capital A/c
Profit on reissue	Share Forfeiture A/c Dr. → To Capital Reserve A/c

14. Quick Exam Checklist

- Remember the difference between authorised, issued, subscribed, called-up and paid-up capital.
- For issue at premium, identify when the Securities Premium becomes due and whether it is received.
- In oversubscription, separate rejected applications, pro-rata allotment and excess application money.
- For forfeiture, calculate the amount called-up, amount received and amount unpaid before passing the entry.
- For reissue, check the permitted discount and calculate the balance of Share Forfeiture relating to the reissued shares.
- Transfer the relevant profit on reissue to Capital Reserve.

Note: These are revision notes designed for Class 12 Accountancy. Always follow the exact wording, journal-entry format and legal provisions prescribed by your board/textbook.